NEXORA INDUSTRIES

Supplier Qualification and Onboarding

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Nexora Industries is a fictional company. This synthetic document was created for a portfolio demonstration and does not describe a real organisation.

1. Purpose and principle

No purchase order may be issued to a supplier that has not completed onboarding and been created in the vendor master by Procurement Operations. Buyers cannot create or modify supplier master data.

2. Documents required from all suppliers

- A company registration extract less than 3 months old
- The VAT number, validated against the official register
- Bank details on company letterhead, signed by an authorised representative
- A signed acknowledgement of the Supplier Code of Conduct (NX-PUR-006)
- A general liability insurance certificate with cover of at least €2 million per claim
- A completed supplier information form (contacts, ownership, main sites)

Every new supplier is screened against international sanctions lists before it is created in the vendor master.

3. Additional requirements for direct material suppliers

- ISO 9001 certification (mandatory)
- IATF 16949 certification for suppliers of automotive production parts, or an approved plan to obtain it within 24 months
- ISO 14001 certification (recommended)
- A Conflict Minerals Reporting Template (CMRT) for parts containing tin, tantalum, tungsten or gold, and an Extended Minerals Reporting Template (EMRT) for parts containing cobalt
- A self-assessment questionnaire covering quality, logistics and sustainability
- An on-site process audit by a Supplier Quality Engineer when the expected annual spend exceeds €500,000 or when the supplier will deliver safety-critical parts
- An approved Production Part Approval Process (PPAP) before series deliveries

4. Risk classification

Each new supplier is classified as low, medium or high risk, based on the expected annual spend, the country risk, its financial health (credit score from the external rating provider) and the criticality of the category. High-risk suppliers can only be onboarded with the written approval of the CPO. Suppliers are re-assessed every 12 months when high risk, every 24 months when medium risk and every 36 months when low risk.

5. Onboarding lead times

The target lead time for indirect suppliers is 10 business days from the receipt of a complete

file. The qualification of a direct material supplier can take up to 8 weeks, including the audit and the PPAP. Incomplete files are put on hold, and requests are closed after 60 days without the missing documents.

6. Bank details verification

Bank details are confirmed by calling the supplier back on a phone number taken from an independent source (company register, existing contract), never the number given in the request. Any change to the bank details of an existing supplier must be confirmed by call-back and approved by two members of Procurement Operations (four-eyes principle) before the update. A request received by email alone is never sufficient. Accounts Payable reviews the first payment to a changed bank account before it is released.

7. Dormant suppliers

A supplier without any purchase order for 18 consecutive months is automatically blocked for ordering. Reactivation requires an updated registration extract, a valid insurance certificate and a new bank details verification.